Careem: How to Win a City

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Grow volume of riders and captains rapidly / defend against defections

Optimize Conversion / Minimize Drop Off

Volume

Behavior View	Curious	Casual		Core		Cold
Usage View	Downloads / Logins	Registration /Sign Up's	Activations (First Use)	Repeat Use Retention	Referrals	Stop
Riders	Who (segment), what / where (location from/to, vehicle selection, request type), when (time of day), why (trigger), how (web/mobile), how often (frequency), for what purpose (routing/ destination), at what cost (fare, promotions, credits), for how long (trip duration), with what feedback (rating, customer service)?					
Captains	[Who, What, Where, When, Why, How] +++ revenue/costs/earnings per time period, work schedule (up/down time), activity volume (rides per time period), coverage (routes, geography), performance (rating, complaints), efficiency (wait times), effectiveness (completed vs. requested, cancelations, delays), loyalty/defection, duration (tenure), error rates, current availability					
Tools	Campaigns / Promotions / PR / Ad / Events / Partnerships / Brand Development					
Method / Differentiation	Mass market Price		Segment-specific Quality			

Grow captain / rider pipeline to:
- decrease consumer wait times
- keep captains busy making money
- catalyze virtuous circle

Measure conversion rate to inform acquisition strategies:
- how does usage start?
- how does usage grow or fall off?
- how does usage renew or revive?

Biggest challenges

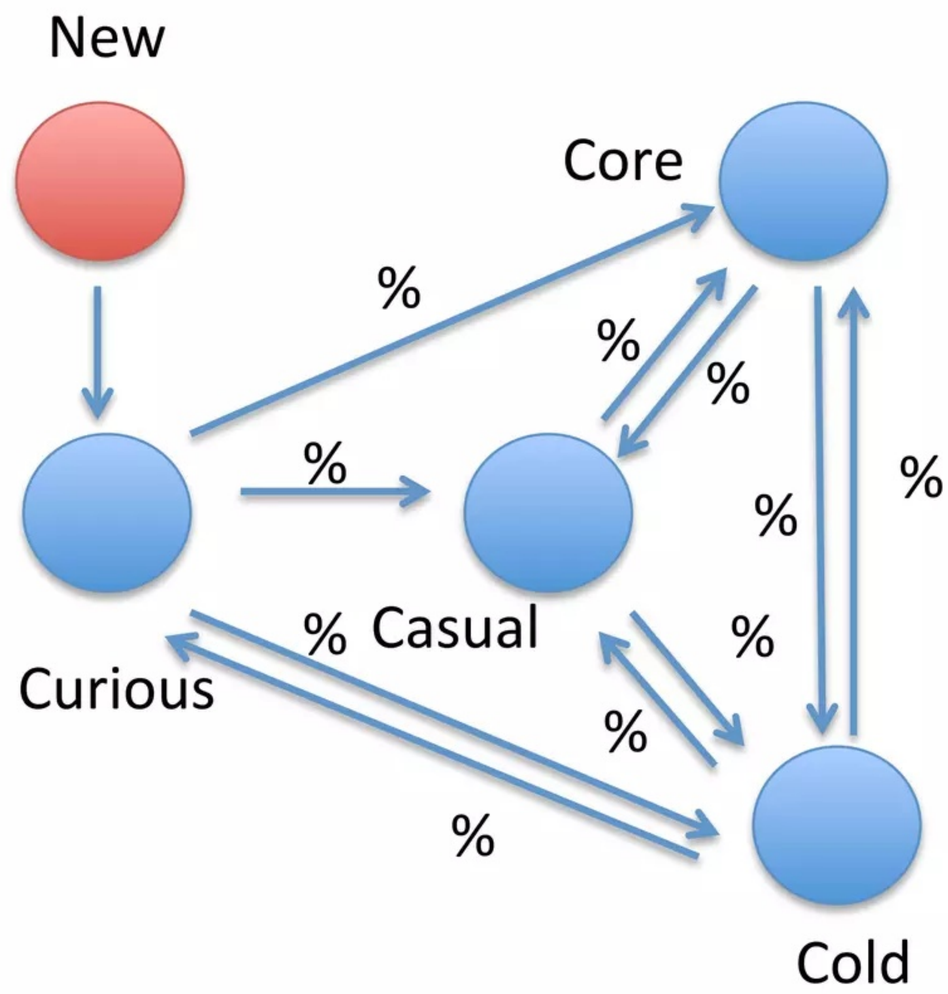
Commoditization	Competition		
Ride-sharing is a commodity	**UBER has:**	Nearly unlimited capital	A global brand
Initial buzz waning as markets develop Consumer factors: cost service - wait time - trip duration - driver interaction convenience / interest safety other	Which results in:	Aggressive market entry and development Deep, relentless rider discounts & promotion; driver incentives, that can overwhelm competition Well staffed local team to execute multi-pronged approach: - PR - events - partnerships	Free media Consumer awareness / curiosity Cool factor Rapid increase in rider/driver acquisition
Can we discern consumer's relative preference on price vs. quality vs. other and grab market share? At what size marketplace do consumers benefit from consistent low price and drivers can make money on volume? Is there a size at which loyalty sticks/ grows?	But not always a priority on:	Rider / Captain retention Captain satisfaction Corporate reputation	

Other Opportunities/Threats	Build awareness of ride sharing option? Use culturally relevant approaches Explore regulatory ways to accelerate market expansion or erect market barriers Explore cultural norms that can accelerate market expansion or erect market barriers

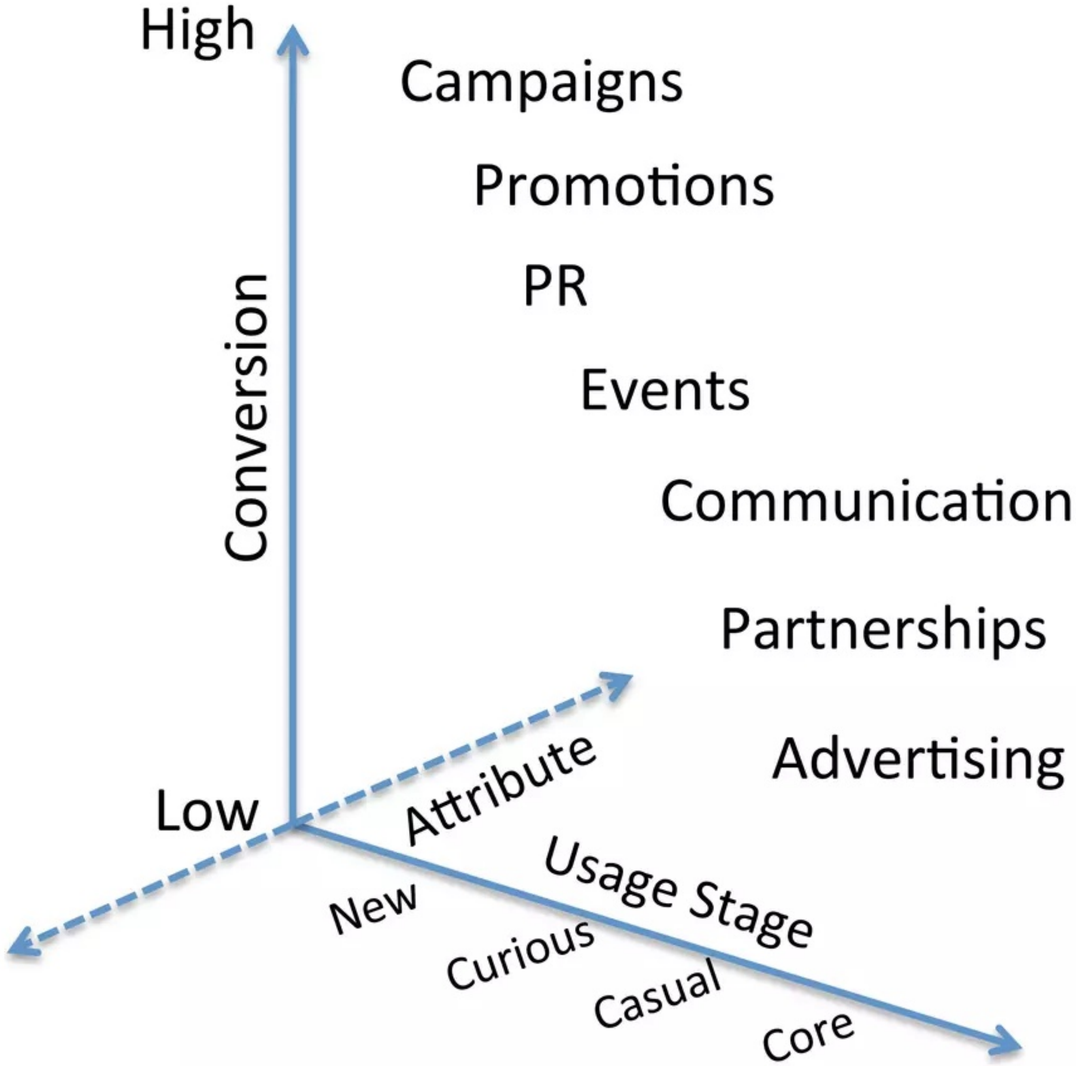
Define rider segments and who is in them

Consumer Type	Possible Patterns (on a spectrum)	Dozens of characteristics to look at	Segment by Product
New/no attention	No awareness to awareness	Age Gender Income/Affluence Education Location Routes Destination Time of day Time of week Job Occasion Event Immediate use Advance reservation Business vs. leisure Price Payment type Subsidies Split fare Mobile or web Ratings …….	Economy Max Kids Business
Curious	Download app Registered Used once		
Casual	Use every 4-8 weeks Weekends Usage erratic or declining		
Core	Multiple uses a month Weekdays Referrals		
Cold	Stops using		

At a granular level, understand how rider segments behave and shift over time



Test and study combinations of tactics/attributes to drive conversion lift, increase usage, or reduce usage decline



As I use a tool does it increase conversion from:	As I use a tool does it:
New -> Curious	Maintain usage
Curious -> Casual	Prevent usage decline
Curious -> Core	Increase usage
Casual -> Core	Resuscitate usage
As I look for opportunity:	
What sub-segments based on attributes should I focus on to drive acquisition, activation?	Do some tools work well with other tools to renew or resuscitate consumers?
What are the best times within a day, across a week to run specific campaigns?	Do certain combinations of tools, times, segments and products realize outsized results?

Evaluate consumer life time value as a source of competitive advantage

Understand and track utilization patterns by geographic unit

Geographic unit	Concentration of Captains	Concentration of Riders
Time of day	Orient promotions & campaigns to drive optimal supply and demand matching, to (1st) decrease rider wait times, and (2nd) maximize Captain productivity	

Identified or predicted gaps in supply or demand are triggers for short-term promotions, campaigns; persistent gaps in an area require additional interventions (targeted sponsorships, partnerships, event strategies, driver recruitment, etc.)

Identify most common uses and distances for ride sharing by locality to improve targeting and planning

Common ride sharing destinations?	
home	shops
friend or family home	mosques
work (work related)	doctor's office/hospital
restaurant/food	stadium events / theater events
hotels	grocery store
tourist sites	cafes, coffee shops
airports	
malls	

How well can Careem know its riders?
Can we predict trips and then suggest nearby Captains?

(Also, if we can predict trips, know particular destinations, and can integrate social media, can we advertise products/services or coupons based on those predictions and open a new revenue stream?)

Always remember, one size doesn't fit all

Determine individual consumers' relative preferences of key attributes, through testing (e.g. conjoint analysis) and direct conversation (e.g. using software tools)

Target promotions, messages and marketing accordingly

Each consumer has their own unique preferences & order of preferences

Knowing this can help you understand why consumers pick Careem over the competition and customize individual service accordingly

Improved targeting of promotions and messaging to individual consumer preferences leads to increased: activation, utilization, loyalty and retention

Consumer A: X price discount > Y price discount > time to pick up > time to destination > luxury car

Consumer B: Luxury car > friendliness > time to destination > time to destination > car pool

Consumer C: Reliability > time to destination > all other options

Consumer D, E, F, G……..

Note: Excellent software tools exist that generate high response rates from consumers to build precise, individual preference and attitudinal profiles to improve targeting – used by credit card, insurance and other companies

Play to Careem's strengths

Careem assets
Local brand / consumer affinity (home team advantage)
Custom created maps
Time in market
Rider & Captain user base
1- 4 years of user data / analytics in each market
Positive PR
Localized teams/strategies / knowledge
Distinct service components (call center, Captain training)
Strategic partnerships
Relationships (Captain, user, media, corporate, SMB, community, gov't)
Regulatory knowledge
Technology and communication platform
Consumer driven product diversification

Main elements of winning a city

Grow User Base Rapidly	Defend Market Position
Fight to win/draw in top user segments Dominate niche segments Strategic partnerships Sponsorships Targeted promotions Reputation/PR (hyper local, events)	Consumer life time value (service, retention) Captain loyalty Brand strength (values, communication, user experience, consistency) Value & Service Differentiation- rider and Captain
Anticipate Main Attack	**Respond Strategically**
Uber tries to out price Careem through heavy, relentless: • rider incentives, discounts, promotions • Captain incentives & reimbursement Trains rider market to purely price sensitive decision making Tries to steel Careem Captains	Service Relationships Value Brand Targeted promotion Message Emphasize, “trust”, “we know and understand you”, “we are home grown”, “won’t treat you like some outsider”, “always respectful”
Additional considerations:	Build differentiated awareness across demographics Erect regulatory barriers (where possible) Use call center to gather qualitative consumer/ Captain competitive Intelligence

One benefit of global competitor entering market

Competitor helps build awareness of the ride-share category

Careem needs to generate a differentiated message and brand as category grows

Use social and regular media to drive awareness

Middle East Media Consumption	Strategies
As of late 2015/early 2016 - 132m internet users (52%) - FB and Twitter #1 and #2 social media sites - 90% of internet users in 5 countries also on FB (Egypt, Lebanon, UAE, Tunisia, Saudi Arabia - At least 50M FB users in ME - 53% of Saudi social media users on Twitter - 51% of UAE social media users on Twitter - Qatari's use Instagram and Twitter most Take advantage of regular media consumption Understand where eyeball traffic goes most and drive PR / awareness	Increase presence on FB and Twitter to drive downloads and maintain awareness Tailor to each country's internet and social media consumption pattern Messages should incorporate user stories, trends, testimonials Messages should reinforce through words, images, videos and two-way content: key values, what Careem "stands for", home-grown Keep Careem "in mind" to generate spontaneous use (sometimes people just forget)

Use Celebrity / Influencers Tie in's • FB or Twitter post of celebrity in a Careem car • Run celebrity Captain for a day promotions	• Tap into social media followings • Random passengers will be picked up by celebrity Captains with viral spreading of photos and videos

Use data to identify and amplify consumer testimonials through social media to drive conversion

Brand reinforcement	Tools and Techniques
Personalization of service Human touch People not statistics Its about community We are Careem! Honor and respect our users Every message builds brand of respect and trust, “we know you like a friend”	Short form, un-planned video testimonials (riders and Captains) Consumer blog posts City/Country Captain blog sites Beautiful photos of happy consumers doing fun things Careem took them too Spread across multiple social media outlets and feeds

Identify (if there is a) service lever where Careem and competition are equalized in consumer mind

Hypothesis: if consumer can be picked up in 2 minutes or less, then consumer is agnostic about X% price discounting

Test using data

If true, consistent 2 minute or less pick up creates room to compete on service and brand in a commoditized market

Targeted campaigns and promotions

Purpose **Increase downloads, registrations, first time use, repeat use** **Target niche segments who may not use Careem otherwise or value service > price in purchase decision making**	**Offer Types:** **Personalized reminders & suggestions** **Proactive outreach w/ or w/out discounts** **Credits** **Free rides** **Fixed rates on high traffic routes** **Co-branded promotions**
Example sub segments (those who don't reflect average user profile) Demographic Parents Seniors Single women Usage pattern Curious Casual Cold Utilization Business traveler Evening out Special event Long lines at rental car Routing Short Always in traffic Limited parking	Message Examples Personalized to segment and utilization "Convenience", "Reliable", "Let Careem take you where you need to go with confidence and trust" (single women) "You can believe in us to treat you w respect not like some outsider" "Freedom to go where you want when you want" (seniors) "We know you take this route often. Don't worry about traffic, we've fixed the rate. Thank you for riding with Careem" Low or no cost service enhancements (via training) "Always a kind, culturally relevant greeting and good bye from Captain" "If Captain knows sub segment, can behave in a certain way or say things in a certain way that appeal to that person" Consumer message/brand development objective: "Careen knows me knows who I am & what I need"

Convert destination data into value

Track where people: • **Shop** • **Eat** • **Entertain** • **Socialize** • **Relax** **Frequently and make sure Careem digital ad's show up on those websites and mobile apps** **Experiment with proactive:** • **Advertisements** • **Messages** • **Promotions** • **Co-branded offers**	**Attract like minded consumers who also visit those websites, apps and locations** **Keep Careem top of mind for current users**

Strategic partnerships

Purpose	**Offer**
Increase downloads, registrations, first time users **Target niche segments who may not use Careem otherwise**	**Negotiate discount rates** **Set max wait times (3 min) or ride free** **Special deals for special occasions** **Co-brand with partner** **(Parlay into future delivery service)**
Types of Entities Entities generate core users and referrals: • Businesses (banks, corporates, retailers) • Retail stores, malls, shops • Restaurants • Hotels • Entertainment venues, concert halls • Sports venues • Airports, airlines (e.g. late arrivals) • Hospitals, medical facilities • Universities • High schools (excellent grades?) • Museums • Parks and zoos • Other tourist sites • Beauty parlors	Message “Fast, reliable, friendly service” “Enhance employee/customer satisfaction” “We understand your needs and what matters” “Local brands supporting each other” Personalized messages based on partnership use cases

Ways to think about strategic partnership as a "recommenders/referral" strategy

Individual contracts with partners can:

- Incentivize employee usage through a revenue share; the more employees use Careem, the greater the earnings up to a limit

- Employers cut costs by pre-negotiating rates, logistics with Careem. E.g. Hotels negotiate free rides for hotel guests, luxury car, guaranteed 2 minutes pick up; in exchange for minimum monthly or weekly volume

- Enable businesses to create special promotions using negotiated Careem rates: (e.g. restaurant offers free Careem pick up/drop for anniversary couples with vehicle upgrade)

Sponsorships & tie in's

Purpose **Increase downloads** **Target niche segments who may not use Careem otherwise**	**Offer Types:** **Credits** **Free rides** **Co-branded promotions**
Example sponsorships (identify high usage apps by specific segments and/or general population, also based on what you are learning about user preferences) • Restaurant reservation app • Weather app • Local E-commerce/mobile commerce app • Local event booking app (e.g. sports) • Streaming music app • Most used news and information app • Popular department store apps • Popular apps for women	Sample Messages Personalized to segment and utilization: "Ride with Careem to your favorite restaurant. Book in advance and get free upgrade" "Planning your "match" day just got easier with Careem" "Play your favorite playlist while riding with Careem" "Let Careem take you to the (store) and get 10% off at your favorite shop.

Events and tie-in's

Purpose **Increase downloads and registrations** **Target niche segments who may not use Careem otherwise** **Habituate consumer tie between events and Careem usage**	**Offer Types:** **Discounts** **Credits** **Free rides** **Co-branded promotions**
Example events: • Sports matches • Engagement/Weddings • Family reunions • Family vacations • Conferences • Performances • Birthdays • Graduation • Eid's • Holidays and Recognition Days • Ramadan (weekly plan to do good) • Children's occasions • Theaters • Opening nights)(movie, concert)	Sample Promotions/Messages Personalized to segment and utilization: "Movie night tonight? Take Careem and get 1 ticket free" "Lots of family it town? Let Careem make sure everyone gets to where they need to go" 'Don't fuss with parking on Eid, take Careem and enjoy the day!" "On your Birthday you can request free ice cream on demand through Careem app or website! Happy Birthday!" (several relevant from previous slide)

Converting destination data into value

Since Careem knows rider destination, e.g.:

- **Mall**
- **Restaurant**
- **Entertainment venue**
- **Relaxation / Socializing venue**

Careem can negotiate targeted ad's and/or promotions with specific stores or businesses

and proactively have them arrive at users inbox or SMS, while that person is in the car en route to that destination

Example:

Careem predicts passenger likely to shop at X, Y and Z stores

While passenger in car, Careem sends tailored SMS advertisement and coupon to shop at that store

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Example:

Careem taking passenger to grocery store

While passenger is in car, he or she receives a coupon from store for specific items

Example of increasing market share by focusing a niche segment: Women

- Focus on women especially the segment who don't drive on their own
  - Women are important consumer in market
  - Major influencer role
  - If they like using the service they will recommend to kids, to friends, to parents

- Create a distinct but separate digital strategy to attract participation
- Understand and appeal to distinct preferences, communication styles, intellectual and emotional content of advertising and social media use

- Center campaign around message of trust, respect, safety:
  - “Higher confidence and trust with us”
  - “You can believe in us to treat you with respect; not like some outsider”

- Attracting participation will include affiliation with key brands that women segment trust and know

Example of increasing market share by focusing a niche segment: convert routing data to value added information

Study most used and high traffic routes

- E.g. From A to B involves 5,000 cars daily
- We know traffic unpredictable at times of day and so ride share pricing unpredictable for users – measure to close in on a narrow price range by time of day; riders may forgo ride share because of lack of uncertainty around price
- With that information offer Careem users for that route a fixed price (vs. a range) for specific times of day to minimize loss but maximize new ridership; and it's a better deal than driving on your own (i.e. fuel costs, lost productivity)

Example of increasing market share by focusing a niche segment: Holidays

Build awareness and sense of shared community on special days or recognition days that are locally celebrated

Example: Ideas for a Ramadan Plan

- Surprise gift bag for every user on Eid Day
- 1-5 rider credits to users during Ramadan to say thank you
- Special Friday free service between Jummah and Asr
- Free home delivery desert coupons during Ramadan
- Movie night coupons (two free tickets with a Careem ride)

Focus on consumer life time value

Integrate consumer history to further personalize relationship and target marketing

Example: Reward consumers with surprise benefits

Identify routes with most traffic at specific times of day / week

Look for Careem users who intersect with those routes

Extend surprise offer fixed rate during peak traffic period on a ride to thank them for using Careem

Test usage pattern after offer to see if usage pattern improves

- Long-term consumers are among the most profitable; differentiation is based on service, personalization and targeted value props
- Competitors do not focus on consumer life-time value

Example: Remember most frequent routes and destinations in app/website

Record frequent routes, destinations, times

Enable users to store frequent pick' ups and drop's on the Careem log in (make it easy to call up) – service enhancement

Send proactive messages and test different kinds of offers based on frequent use profile

e.g. "Going out on Friday? Reserve Careem now and save 10%"

e.g. "This is your 25th ride with Careem! Congratulations we will credit 25% for your next ride"

- Look at value of each consumer. How much does each consumer spend on you in a year? How can we grow that?

Sample idea of generating consumer life time value
(borrowed from airline sector)

Create usage tiers

Platinum, Gold, Silver

Based on miles per time period (quarter or year)

May also include # of referrals for bonus recognition
(e.g. best net promoters get extra special treatment)

Each level has unique benefits

- e.g. automatic car upgrade
- e.g free car for the day (1 a year)
- e.g. airport lounge usage (tie-in w/Emirates)
- Points and gifts

Other terms and conditions

Sample idea of generating consumer life time value (borrowed from amazon.com or mobile charge plans)

Create subscription service option

"Careem Plus"

Measure average consumption patterns and corresponding Captain utilization & costs.

Determine fee structure(s) that enable financial goals for Captains and for Careem

Create monthly subscription model for riders

- May include a few service extras to entice participation
- E.g. introduce game-ification of incentives (e.g. points for: # of rides for period of time; rides to certain venues where Careem has marketing partnership; posting photos during a ride; referrals, etc. Points applied to diverse consumer offerings)

Alternatively, model usage-based fees (X miles per month = Y fee per month)

- Propose distinct subscription pricing plans for each tier

Other terms and conditions

Plan to should help increase Captain activation in a region since it implies a predictable group of riders

Sample idea of generating loyalty and happiness
(borrowed from video game sector)

Create “gold coin” program

Consumers earn “gold coins” over time for various reasons determined by Careem

- E.g. based on cost or miles metrics
- E.g. as special rewards or recognition

Gold coins provide added value in spontaneous moments

- e.g. can be applied during surge pricing (50% of surge pricing period)
- Useful for times when rider “just wants to get home”, and does not want to wait for surge pricing to end

Other terms and conditions

The Importance of relationship marketing as a distinct differentiator from a foreign brand

Establish signature relationship item with all Careem cars to shows that this a local business who understands the local culture and values

Create some aspect of communication or product experience that says *"you made a great choice we understand you"*. For example:

- Personable and personalized welcome
- Thank you at beginning
- Captain always opens door
- Great in car experience –just the right touch
- Thank you at drop off
- Follow up digital experience re-affirm this (thank you text message

The feeling we want to create is that by requesting Careem it's a positive reflection on you the consumer: *"that I care about my country, I care about my community and I made a wise choice."*

- Simple expression
- Delivered digitally
- Customizing online experience , post transaction making it more relational

Examples creating distinctive personalized service moments

Every experience builds brand of “respect,” “trust,” and “we know you like a friend”

Track customer usage patterns

- Create quintiles of usage based on routes
- Identify those who use you for certain routes and if a gap occurs, send a text “is everything okay? can we help with anything”

Look at time’s for specific usage

- Spot frequent restaurant usage weekends
- Send text earlier in the week: “got plans this weekend? Book Careem by Friday at 5 pm and get free upgrade or 10% discount”

Time of day

- Study morning use trends
- Ping at 6 and 630 am with personalized message. Did we get a bump in usage?

Follow traffic patterns

- If traffic block, proactively message people in the area, “We are aware of traffic problem and finding different routes. Use Careem to get where you need to go.”
- Communicate: we get this covered, we are tracking this, don't worry

Website usage:

- What websites are they before they get to Careem.com or mobile app?
- Can we discern vacation plans and suggest Careem car rides to airport or for pick up?

Follow consumer feedback on FB, Twitter and respond to good messages with gratitude and bad messages with a promise to fix (and occasionally a credit)

Identify trends and get ahead of them

Try and test….try and test….try and test…

With any new offers or interventions:

Measure impact on:

- Downloads
- Activations
- Shifts in consumption behavior
- Utilization
- Profitability
- Change in consumer preferences
- New segments & acquisitions

And adjust tactics based on what you learn:

- Messaging
- Promotions
- etc.

“Try and test” should also apply to supply-side strategies – measure affect of interventions on # of Captains on the road to match demand

Building captain relationships as a key point of differentiation

Competition	Careem
• Known to view Captains as expendable • Will discount heavily, sometimes reimburse Captains, sometimes not • Limited, if any, support • Poor communication	• View Captains as important • Build relationships • Provide support and training • Call center interface • Community building

Captain happiness & loyalty => consumer happiness & loyalty	Benefits to Careem
• Maximize drive time with opportunity • Invest in Captain relationship building; know who they are, and ensure they know you know • Reward and recognize as often as possible • Ensure strong communication's (explain strategy, approach, get feedback via social media, audio town halls, etc. • Treat with respect • Promote Captain organized local gatherings, social events (build community) • Provide continuous training (that could also improve broader capabilities) • Create feeling of ownership and pride in brand • Build consumer good will	• Mitigate defections • Increase activations / duration • Gather market intelligence (e.g. via call center interactions) • Stimulate positive customer service

Understanding captain mind set and helping them with what they need

Captains want to:

- Maximize revenue
- Maximize productivity
- Minimize Cost

Recognize discounts part of what is needed to get riders…

…but don't like it

Create a "Captain Support Pack"

Eligibility requirements:

- X number of months or miles
- Y revenue generation
- Consistent performance minimums

Support Pack includes:

- Negotiated discount rates on fuel with top 2 fuel franchises (up to an amount)
- Negotiated discount rates on basic repairs and maintenance
- Free oil change and other items could be considered
- Partial expense account for rider services (e.g. water bottles in car)



Reduces Captain tension over price reduction promotions

Additional way to recruit captains (beyond individual referrals)

Develop workshop tool kit that local country teams and Captains can use to host recruitment workshops in their community	Workshop invites people to: • Learn about Careem • Learn about what it means to be a captain and how to make money • Promote pride of self employment • Meet existing captain's, ask questions • Sign up
Create a social media page to highlight events where people can share photos and comments and new captains can be recognized Workshop and social media reinforce message and brand that we are about opportunity and community advancement	Host in free spaces partnering with local community leaders who promote attendance - Non denominational events - Available open spaces (e.g. mosques, churches?) - Community centers

Broader challenge: stimulating the supply side of the market

Multi-pronged approach to stimulate new captain acqusition

Explore market of available Captains who don't have their own cars

Establish car financing program

Financing or subsidizing car lease or purchases for new Captains

- In exchange for car, Captain must work for Careem for life of loan program

To what extent does Careem use incentives currently to stimulate supply?

Brand development and awareness

- What Careem stands for
- Aggressive, targeted marketing, education campaigns
  - Advertise growth in # of downloads, riders

Strong referrals program

- Bonus
- Consider version of Amway model (% of revenues of each Captain you recruit)

Partner with existing taxi or limo companies to increase utilization and add Captains to the grid

Recognition programs

Community workshops (see previous slide)

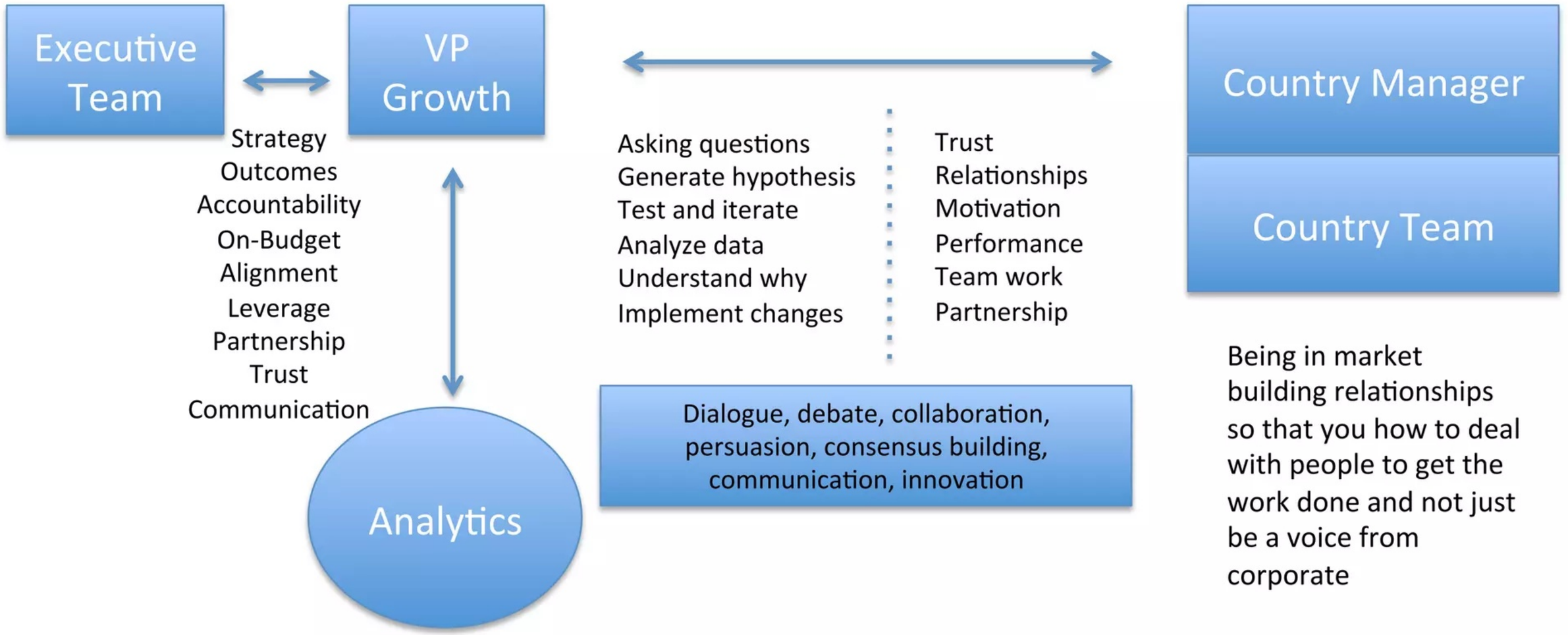
Captain Support Pack (see previous slide)

Creating community among Captains

Targeted Captain incentives

- Uber may force Careem to compete on Captain incentives

Relationship to data team and relationship with country manager/team and to executive leadership



Being in market building relationships so that you how to deal with people to get the work done and not just be a voice from corporate

Important to work with country managers to manage right balance between consistent brand experience across all users globally while also enabling space for local customization to meet consumer/Captain expectations on service, quality, user experience

Marrying quantitative & qualitative (local) Information

- Visit cities and countries
- Spend time in Captain cars, get to know them, listen to what is happening in the field
- Spend time with country teams, build relationships, understand what they have done, what they observe, what is working, not working, what they need
- Understand how experience compare with “data driven insights”
- Develop ways to ensure local customization (culture, context, metaphors, language) is integrated into communications for maximum reach/response
- Build trust and relationship, provide a clear understanding of how corporate seeks to help; take feedback
- Communicate that data tells you what is and what has happened, but qualitative knowledge also key
- Learn about the competition; learn about what works well with consumers, what does not; create mechanism to gather competitive intelligence, market dynamics
- Build comprehensive list/plan around sponsorships, partnerships and event opportunities
- Ensure Captain relationships are also an area of focus

Add services and target communities to surround user experience

Survey users for what they want, look for usage patterns and large segments of unmet need/preference

E.g. Careem Delivery

- Same day delivery goods
- Prepare food/groceries
- Tie in with store coupons
- Store advertising spend
- Complement to women, mom's, seniors, busy parents

E.g. Careem Seniors

- Captains trained to work with elders
- Vehicles equipped for easy access and space for support items
- Adults can reserve from their app on behalf of their parents or grand parents (including use of separate credit card)

E.g. Careem Ed

- Captains trained and screened to work with kids
- Cameras in cars that record all activity to cloud
- Parents have all Captain info and can communicate directly
- Individual and Car Pool service options
- Take kids to and from school; to and from after school activities; to and from weekend kids events